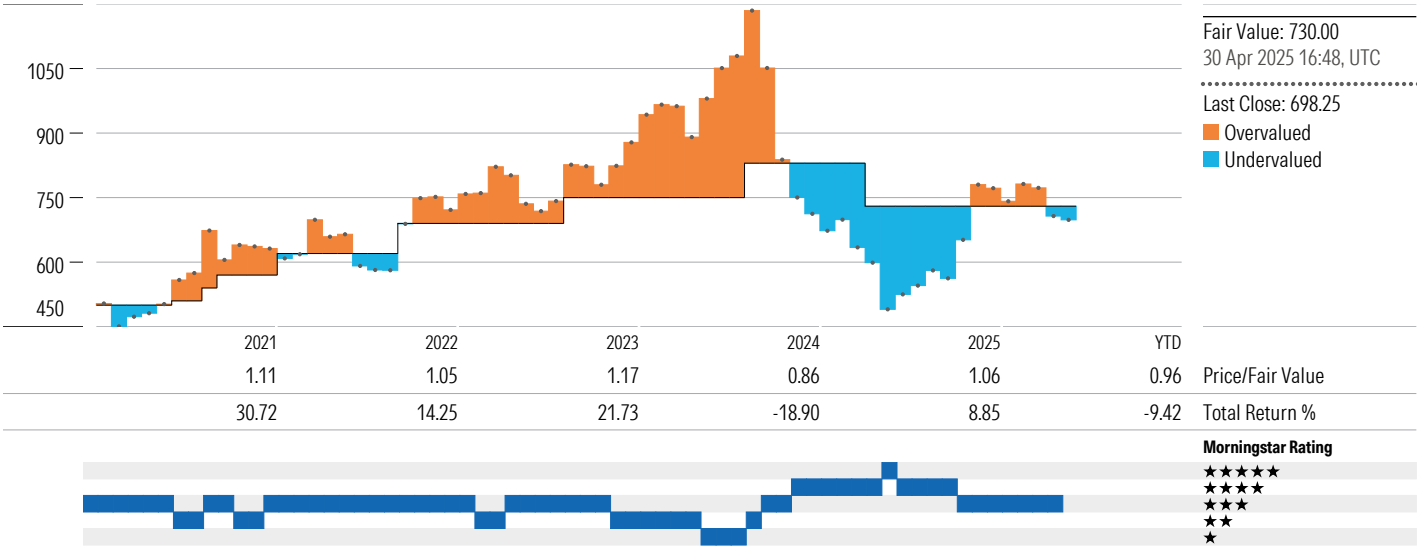
Regeneron Pharmaceuticals Inc REGN ★★★★ 18 May 2026 21:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
698.25 USD 15 May 2026	730.00 USD 30 Apr 2025 21:48, UTC	0.96	66.02 USD Bil 18 May 2026	Narrow	Mid Value	Medium	Standard	13 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.11	1.05	1.17	0.86	1.06	0.96
Total Return %	30.72	14.25	21.73	-18.90	8.85	-9.42

Morningstar Rating

Total Return % as of 15 May 2026. Last Close as of 15 May 2026. Fair Value as of 30 Apr 2025 16:48, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Regeneron's Portfolio Still Supports a Narrow Moat Despite Competitive Threats to Eylea

Business Strategy & Outlook Jay Lee, Senior Equity Analyst, 11 May 2026

Regeneron has leveraged its monoclonal antibody research and development platform to become one of the few biotechs to be a profitable commercial operation and establish a narrow moat. Lead drug Eylea had global sales of just under $10 billion in 2024 and is approved for wet age-related macular degeneration and other eye-related indications. The majority of sales are for original-dose Eylea, but over the next few years, we expect most of its sales to shift to long-acting Eylea HD, a higher-dose formulation.

Starting in 2025, the Eylea franchise as a whole began to decline due to competitive pressure from long-acting Vabysmo, which competes with Eylea HD, and Pavblu, a biosimilar version of the original-dose Eylea. In April 2025, Regeneron's US supplementary application for Eylea HD's prefilled syringe was rejected and the US FDA has not yet approved it as of April 2026. This packaging format is important for the product's competitiveness with Vabysmo, and although we think it should eventually get approval, the resolution timeline is unclear.

Immunology drug Dupixent is seeing very strong, steady growth in atopic dermatitis and asthma, and approvals continue to expand to new indications (nasal polyposis) and younger patients. With the recent EU approval in chronic obstructive pulmonary disease, we model over $20 billion in peak

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Sector Healthcare

Industry Biotechnology

Business Description

Regeneron Pharmaceuticals discovers, develops, and commercializes products that fight eye disease, cardiovascular disease, cancer, and inflammation. The company has several marketed products, including low-dose Eylea and Eylea HD, approved for wet age-related macular degeneration and other eye diseases; Dupixent in immunology; Praluent for LDL cholesterol lowering; Libtayo in oncology; Kevzara in rheumatoid arthritis; and Lynozyfic for multiple myeloma. Regeneron has multiple partnerships and collaboration agreements, with Sanofi (Dupixent, others) and Bayer (Eylea) as its largest partners.

Dupixent sales by 2030.

While the partnership with Sanofi for new pipeline products has been scaled back, this gives Regeneron several in-house opportunities, especially its pipeline bispecific molecules targeting various oncology indications. For example, Lynozyfic (linvoseltamab) is a BCMA-directed bispecific T-cell engager that was approved by the Food and Drug Administration in July 2025 to treat late-line multiple myeloma patients. Regeneron also purchased rights to the collaboration's PD-1 antibody Libtayo, which can potentially be used in combination with other oncology assets.

Bulls Say Jay Lee, Senior Equity Analyst, 11 May 2026

- Eylea HD is one of the leading franchises in wet AMD and other ophthalmology markets, with Roche's Vabysmo as its main competitor.
- Dupixent has solid launches in atopic dermatitis, asthma, chronic obstructive pulmonary disease, and various other immunology indications.
- Positive early data for several bispecific antibodies in blood cancer and solid tumors supports the potential of Regeneron's in-house oncology program.

Bears Say Jay Lee, Senior Equity Analyst, 11 May 2026

- Regeneron's pending application for US approval of Eylea HD's prefilled syringe is important for its market share.
- While Regeneron's Praluent has entered the multibillion-dollar cholesterol-lowering market, it faces stiff competition from Amgen's Repatha and Novartis' Leqvio.
- Although Regeneron has an excellent track record of innovation and has multiple potential blockbusters in late-stage development, these drug candidates are not yet derisked.

Economic Moat Jay Lee, Senior Equity Analyst, 11 May 2026

We assign a narrow moat rating to Regeneron based on the intangible assets that underlie the commercial potential of its Eylea franchise (including low-dose Eylea and high-dose Eylea HD) and the productivity of its monoclonal antibody research and development platform, which has led to blockbuster sales of immunology drug Dupixent. We think the firm does face environmental, social, and governance risks, particularly related to US drug price-related policy changes (most of Regeneron's revenue comes from the US market) and ongoing potential for product governance issues (including litigation). While we have factored these threats into our analysis, we don't see them as material to our valuation or moat rating.

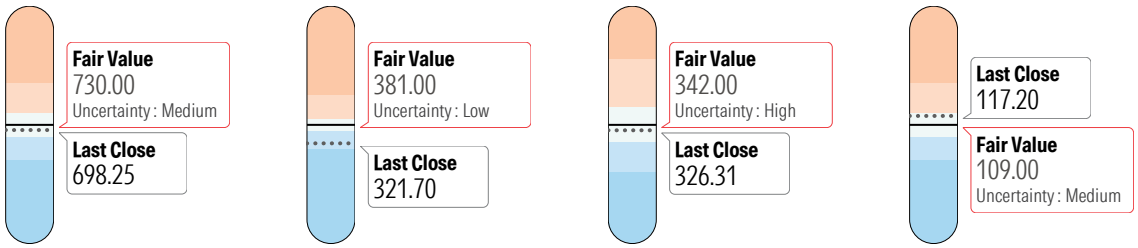
Eylea, or aflibercept, had global sales of $7.9 billion in 2025, thanks to its strong competitive positioning and more attractive dosing regimen versus Lucentis and Avastin in ophthalmology indications. While low-dose Eylea loses US patent protection in 2027, a high-dose version, Eylea HD, launched in late 2023 with patent protection through 2039, allowing continued strong cash flows in ophthalmology despite

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Competitors



	Regeneron Pharmaceuticals Inc REGN	Roche Holding ...ary Shares new ROP	Amgen Inc AMGN	Novartis AG Registered Shares NOVN
Economic Moat	Narrow	Wide	Wide	Wide
Currency	USD	CHF	USD	CHF
Fair Value	730.00 17 May 2026 08:39, UTC	381.00 16 May 2026 13:12, UTC	342.00 17 May 2026 08:43, UTC	109.00 16 May 2026 13:12, UTC
1-Star Price	985.50	476.25	530.10	147.15
5-Star Price	511.00	304.80	205.20	76.30
Assessment	Fairly Valued 18 May 2026	Undervalued 18 May 2026	Fairly Valued 18 May 2026	Fairly Valued 18 May 2026
Morningstar Rating	★★★★18 May 2026 21:17, UTC	★★★★15 May 2026 05:00, UTC	★★★15 May 2026 05:00, UTC	★★★15 May 2026 05:00, UTC
Analyst	Jay Lee, Senior Equity Analyst	Karen Andersen, Director	Karen Andersen, Director	Jay Lee, Senior Equity Analyst
Capital Allocation	Standard	Exemplary	Exemplary	Exemplary
Price/Fair Value	0.96	0.85	0.95	1.07
Price/Sales	5.04	4.09	4.76	4.98
Price/Book	2.33	7.60	19.16	7.23
Price/Earning	17.01	20.12	22.69	20.83
Dividend Yield	0.50%	3.06%	2.87%	3.17%
Market Cap	66.02 Bil	255.95 Bil	175.17 Bil	223.63 Bil
52-Week Range	476.49—821.11	243.90—374.90	267.73—391.29	91.06—131.00
Investment Style	Mid Value	Large Blend	Large Value	Large Blend

new branded competition from Roche's Vabysmo.

Dupixent, or dupilumab, is poised to achieve peak sales of over $20 billion ahead of potential Medicare negotiation in 2030 and the March 2031 expiration of its US composition of matter patent, as the drug continues to gain approvals in more immunology indications. It is an IL-4Ra inhibitor that blocks IL-4 and IL-13 signaling, which is implicated in certain allergic diseases. Its differentiated mechanism of action and solid safety profile have made it difficult for competitors to gain traction. In addition to key indications of asthma and atopic dermatitis, the drug was approved in the US in September 2024 for chronic obstructive pulmonary disease, another chronic disease with a large patient population. Sanofi and Regeneron believe that Dupixent's patent thicket will protect its exclusivity beyond 2031, although the precise timeline for loss of exclusivity remains unclear.

The company has an extremely full earlier-stage pipeline that its mAb research partnership with Sanofi

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partly supported, although the collaboration has been scaled back to focus on a handful of programs. Among oncology drugs, PD-1 antibody Libtayo is at the center and is seeing solid growth (albeit from a smaller base) in niche indications as well as lung cancer. Regeneron is testing Libtayo in combination with LAG-3 antibody fianlimab in melanoma and lung cancer and also in combination with various bispecific antibodies. While safety issues have delayed development of some of Regeneron's bispecifics, the firm continues to advance. Lynozyfic (linvoseltamab), a BCMA T-cell engager for treating multiple myeloma patients, received approvals in 2025.

Fair Value and Profit Drivers Jay Lee, Senior Equity Analyst, 11 May 2026

We maintain our fair value estimate of $730 per share.

We forecast the Eylea franchise to undergo double-digit declines in 2026 due to competitive pressures from Pavblu, Amgen's biosimilar version of low-dose Eylea, and Vabysmo, Roche's long-acting product that competes with Eylea HD.

The majority of our fair value estimate is driven by our expectations for the Eylea and Dupixent franchises. In our model, US sales booked by Regeneron for the Eylea franchise peaked in 2024 at $6 billion. Eylea HD will continue to grow to $3 billion of peak sales, while low-dose Eylea undergoes steep declines consistent with biosimilar competition.

We assume Dupixent's global sales will peak around $26 billion. The drug's US composition of matter patent expires in March 2031, but Sanofi and Regeneron believe their patent thicket will extend its exclusivity period beyond this.

The firm's pipeline has always been an important pillar of the company's story. We model over $3 billion of revenue from pipeline assets, including immunology candidate itepekimab (IL-33 inhibitor), odronextamab (for B-cell lymphomas), Lynozyfic (linvoseltamab for multiple myeloma), and fianlimab (LAG-3 inhibitor for melanoma). Additionally, Regeneron has a Factor XI program (anti-coagulants) and a C5 program (rare disease, ophthalmology) in Phase 3 development.

We still see a potential headwind for Eylea sales from recent Centers for Medicare & Medicaid Services guidelines for Medicare negotiation included in the Inflation Reduction Act, which imply that high-dose Eylea could be eligible for negotiation in 2028, rather than protected by patents and exclusivity at least until the mid-2030s.

We assume a weighted average cost of capital of 7.4%, in line with other large-cap drugmakers we cover.

Risk and Uncertainty Jay Lee, Senior Equity Analyst, 11 May 2026

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We assign Regeneron a Medium Morningstar Uncertainty Rating. Its pipeline is well diversified with multiple candidates across disease areas, but its near-term revenue depends heavily on Eylea and Dupixent. Our rating for Regeneron is not materially affected by environmental, social, and governance risks, although we see access to basic services (tied to US policy reform on drug pricing) as the biggest ESG risk that the firm needs to manage.

Proposals for controlling Medicare costs could hit Eylea's sales. Although the drug's position in Medicare Part B and history of flat prices are poised to limit the impact of new US policy on the franchise, high-dose Eylea could be subject to Medicare negotiation in 2028, reducing the longevity of this newer formulation. Regeneron has little exposure to expensive therapies covered by Medicare Part D, and we therefore do not expect Part D redesign to have an impact on Regeneron's intrinsic value. Inflation caps on drug price increases in both Medicare Part B and Part D are being imposed. Overall, we see Regeneron as less exposed than its peers to US pricing risks, given the cost-effectiveness of its medicines and its steady prices for Eylea. We assume a more than 50% probability of Regeneron seeing future costs related to product governance ESG risks (such as off-label marketing or litigation related to side effects) and model annual legal costs at 0.5% of non-GAAP net income (somewhat lower than most peers), which has an immaterial effect on our base-case valuation.

Capital Allocation Jay Lee, Senior Equity Analyst, 11 May 2026

We assign Regeneron a Standard Capital Allocation Rating. The rating reflects our belief that Regeneron possesses a sound balance sheet, fair investments outlook, and appropriate shareholder distributions. As of the end of 2025, Regeneron held a net cash position of over $6 billion. Before 2020, Regeneron had no debt on its balance sheet; 2020 debt levels increased to help the firm cover a portion of the $5 billion share repurchase from collaborator and former large shareholder Sanofi. We applaud Regeneron's moat-building investment strategies and good allocation of capital.

On investments, Regeneron's focus has largely been on developing its internal pipeline of oncology and immunology therapies, but collaborations have increased in recent years. The company's historical strategy of signing on larger partners to share drug-development and marketing costs has served it well thus far (Bayer/Eylea, Sanofi/immunology and oncology drugs, Teva/pain drug fasinumab), and we think management has done a solid job following through on stated goals, including bringing new compounds to market and rapidly filling in its pipeline behind recently approved products. Internal research and development is Regeneron's focus, and we expect the firm to spend more than $5 billion, or 30%-40% of revenue, annually on R&D over the next five years. That said, recent collaborations have focused on providing Regeneron with access to novel technologies, including RNA interference (Alnylam), Crispr gene editing (Intellia), and gene therapy (Decibel). While it's too early to judge the success of these collaborations, as they have not yet generated any approved products.

On distributions, we think Regeneron's increasing cash flows will allow it to support more share

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repurchases in the future, even assuming continued heavy investment in R&D and collaborations. Regeneron paid roughly $500 per share in the $5 billion Sanofi share repurchase, which now appears quite positive relative to our valuation. In 2025, the company began paying a modest dividend of about 9% of its earnings, which we think is reasonable, given its stage of development.

Co-founder Leonard Schleifer has led Regeneron as chief executive since its inception in 1988. The 13-member board is well qualified and includes several seasoned biotech and pharma executives and scientific luminaries, notably two Nobel Prize winners.

Analyst Notes Archive

Regeneron Pharmaceuticals Earnings: Top- and Bottom-Line Double-Digit Growth Despite Eylea Declines Jay Lee,Senior Equity Analyst,30 Apr 2026

Year over year in the quarter, revenue grew 19% and adjusted EPS rose 15%. GAAP gross profit margin on product sales fell 5 percentage points, and Regeneron lowered its guidance range for non-GAAP gross margin on product sales to 77%-78%, or 1 percentage point lower than previous guidance.Why it matters: The margin drop and lowered guidance was caused by a temporary interruption of bulk manufacturing at its Limerick, Ireland facility due to unanticipated repairs. Sanofi collaboration revenue, which are mostly related to Dupixent (dermatology/immunology) sales, grew 36% driven by newly approved indications. US Eylea (ophthalmology) sales declined 10%, as the 36% declines for Eylea original dose were partially offset by 52% growth for Eylea HD. Libtayo had a fantastic quarter, posting 54% growth. Regeneron's US application for Eylea HD's pre-filled syringe remains pending, as the US Food and Drug Administration missed the target action date in April. The reason is unclear, but we hope this will be resolved in short order as this will help slow the pace of declines for the overall Eylea franchise.The bottom line: We maintain our fair value estimate for narrow-moat Regeneron Pharmaceuticals of $730 per share. Shares sold off 6% after the announcement, perhaps due to ongoing declines in the Eylea franchise, but we think this is an overreaction. We currently view the stock as slightly undervalued. Regeneron expects the Sanofi development balance to be fully repaid by the end of the second quarter. This should allow its Sanofi collaboration revenue to step up starting in the third quarter to reflect its full share of collaboration profits. We expect investor focus to return to Regeneron's pipeline, including its C5 program (rare disease, ophthalmology), its Factor XI anticoagulants, and its oncology assets including Libtayo, Lynozyfic, and fianlimab.

Regeneron Earnings: Continued Eylea HD Growth and Higher Research Costs in 2026 Jay Lee,Senior Equity Analyst,2 Feb 2026

Revenue for the quarter grew 3% year on year, and non-GAAP earnings per share declined 5%. Full-year revenue was $14.3 billion, or 1% growth. The US Eylea franchise declined 28%, and Sanofi collaboration revenue grew 35%, largely offsetting each other. Why it matters: Despite ongoing declines in original-

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dose Eylea, we expect recent approvals for Eylea HD to improve demand growth in 2026 after a tough first quarter, which will be affected by seasonality and high inventory levels. In addition to the recent Eylea HD approvals in the US for a four-week dosing interval and macular edema following retinal vein occlusion, we expect approval for its prefilled syringe in the second quarter of 2026 to add momentum and further offset declines from the original dose of Eylea. The firm's guidance-range midpoint suggests a $715 million increase in non-GAAP research and development costs, or 16.5%. We think this is a reasonable amount given the potential differentiation of Regeneron's assets, particularly in cardiometabolic and oncology. The bottom line: The share price has been stable since the earnings announcement. We maintain our fair value estimate for narrow-moat Regeneron of $730 per share, and we view the stock as fairly valued. With stability of the Eylea franchise in sight, we expect investor focus to return to Regeneron's pipeline, including late stage LAG3 and bispecific antibody programs in oncology, its novel first-in-class cat and birch allergy treatments, and its Factor XI antibodies to control bleeding risk. Although Regeneron has yet to strike a deal with the Trump administration, given previously announced deals from other drugmakers, we expect the impact to be highly manageable for Regeneron.

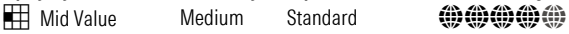
Regeneron Earnings: More Clarity on Timeline for Eylea HD Approval Expansion Jay Lee,Senior Equity Analyst,29 Oct 2025

Regeneron Pharmaceuticals' third-quarter revenue grew 1% year on year, as growth in Dupixent revenue offset declines in the Eylea franchise. US sales of original-dose Eylea fell 41% year on year and 10% sequentially, while US sales of Eylea HD increased 10% year on year and sequentially.Why it matters: The 3% sequential decline in the Eylea franchise (ophthalmology) suggests that its declines are stabilizing. Regeneron also gave a timeline for moving past the inspection site issues at Eylea's contract manufacturer, Catalent, which have held up new approvals for Eylea HD. Regeneron submitted an application for an alternative vial filler for Eylea HD with a target action date in late December. This may allow it to finally get approvals for the four-week dosing interval and macular edema following retinal vein occlusion. The firm also plans to submit an application for an alternative filler for its prefilled syringe by January 2026, which may allow it to get approval for this important dosing method around May 2026. These expansions should give Eylea HD more momentum to offset original-dose Eylea's declines.The bottom line: We maintain our $730 fair value estimate for narrow-moat Regeneron. After the rally on this news, we view the shares as slightly undervalued. With stability of the Eylea franchise in sight, we expect investor focus to return to Regeneron's pipeline, including late-stage LAG-3 and bispecific antibody programs in oncology, its novel first-in-class cat and birch allergy treatments, and its Factor XI antibodies to control bleeding risk. Management suggested that it was close to a drug pricing and US investment deal with the Trump administration. Given previously announced deals by other drugmakers, we expect the impact to be highly manageable for Regeneron.

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Regeneron Earnings: Revenue Growth Resumes Due to Better Performance in Eylea Franchise Jay Lee,Senior Equity Analyst,4 Aug 2025

Regeneron's second-quarter revenue grew 4% year on year, with declines in the Eylea franchise offset by growth in Dupixent revenue. US sales of original-dose Eylea declined 39% year on year but increased 2% sequentially, while US sales of Eylea HD increased 29% year on year and 28% sequentially.Why it matters: The Eylea franchise (ophthalmology) is one of the three key pillars of Regeneron's story, along with Dupixent (immunology) and its innovative pipeline. Although the Eylea franchise remains challenged, it grew 10% sequentially, which suggests the worst may be behind it. Expanded approvals for Eylea HD (prefilled syringe, four-week dosing interval, and macular edema following retinal vein occlusion) will likely be delayed past August due to US regulators' observations following an inspection of Catalent, Regeneron's contract manufacturer. Dupixent global sales rose 22% year on year, and Regeneron's collaboration revenue from Sanofi grew 26%. This immunology blockbuster was also approved in the US for bullous pemphigoid and chronic spontaneous urticaria, its seventh and eighth indications.The bottom line: We maintain our $730 fair value estimate for narrow-moat Regeneron and view the stock as undervalued. Although the Eylea franchise remains challenged, we view the steep selloff as overdone. Management does not have a firm timeline for Eylea HD's expanded approvals, but it has reviewed the US Food and Drug Administration's observations and believes the resolution will be quick. When that happens, it should give Eylea HD more momentum to offset original-dose Eylea's declines. Management confirmed our view that a 15% tariff on nongeneric pharmaceutical products imported from Europe should not have a material impact on 2025's financial results.

Regeneron and Sanofi: Disappointing Top-Line Results for Itepekimab From Two Phase 3 Trials Jay Lee,Senior Equity Analyst,30 May 2025

Itepekimab met its primary efficacy endpoint in AERIFY-1 for treating former smokers with chronic obstructive pulmonary disease, or COPD, but it failed to meet the same endpoint in AERIFY-2. The companies are currently assessing the data to decide next steps. Why it matters: This is a disappointing setback for itepekimab, a key pipeline asset for both Regeneron and Sanofi. There is still potential for approval in COPD, but the companies would need to run another phase 3 trial, which could take several years to complete. The covid pandemic probably caused lower total COPD exacerbation rates than anticipated, which muddies the data interpretation. Nonetheless, we would expect the companies to find a clear theory on why AERIFY-2 underperformed before deciding to go ahead with another phase 3 trial. AERIFY-1 and -2 began in late 2020 and early 2021, respectively, so even if the companies decide to pursue another phase 3 trial, we anticipate that the timeline to approval is likely at least a few years away. The bottom line: We maintain our fair value estimates for narrow-moat Regeneron ($730 per share) and wide-moat Sanofi (EUR 117 per local share class and $63 per US ADR). We currently view both stocks as undervalued, and view the steep selloff in Regeneron's shares in particular as overdone.

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Regeneron Pharmaceuticals Inc REGN ★★★★ 18 May 2026 21:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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Although we downgrade our peak sales forecast for itepekimab to $500 million from $1.5 billion, which we think is sufficiently conservative, this does not materially change our fair value estimates for either company, given their large sizes.

Regeneron Earnings: Revenue Contraction Driven by Declining Eylea Sales Jay Lee,Senior Equity Analyst,30 Apr 2025

Regeneron reported quarterly revenue contraction of 4% year on year, which was largely driven by declines in its Eylea franchise. Original dose Eylea declined 39% year on year and 38% sequentially, and although Eylea HD grew 54% year-on-year, it only grew 0.7% on a sequential basis.Why it matters: The Eylea franchise is one of the three key pillars of Regeneron's story, along with Dupixent and its innovative pipeline. Although we expected declining Eylea sales starting this year, the degree of contraction exceeds our expectations, and the timeline to resolution is uncertain. The Eylea franchise has several moving parts, including competitive pressure from Amgen's biosimilar Pavblu, a complete response letter in the US for Eylea HD's prefilled syringe, and a funding gap at Good Days, a large copay assistance organization that supports US eye drug sales. On the bright side, Dupixent sales rose 19% year on year, and Regeneron's collaboration revenue from Sanofi grew 30%. We expect Dupixent's recent approval in chronic obstructive pulmonary disease to continue to drive strong growth as it ramps up in this large patient population.The bottom line: We lower our fair value estimate for narrow-moat Regeneron to $730 per share (from $830) due to lower Eylea forecasts but still view shares as undervalued. We think the market is not giving enough consideration for the strengths of Eylea HD and Dupixent and the firm's innovative pipeline. Management did not quantify the effects of hypothetical tariffs on pharmaceuticals. Although a 25% tariff should have a negative impact on Regeneron, we think it will be manageable given its high profit margins and existing 100,000 liters of bioreactor capacity in the US.

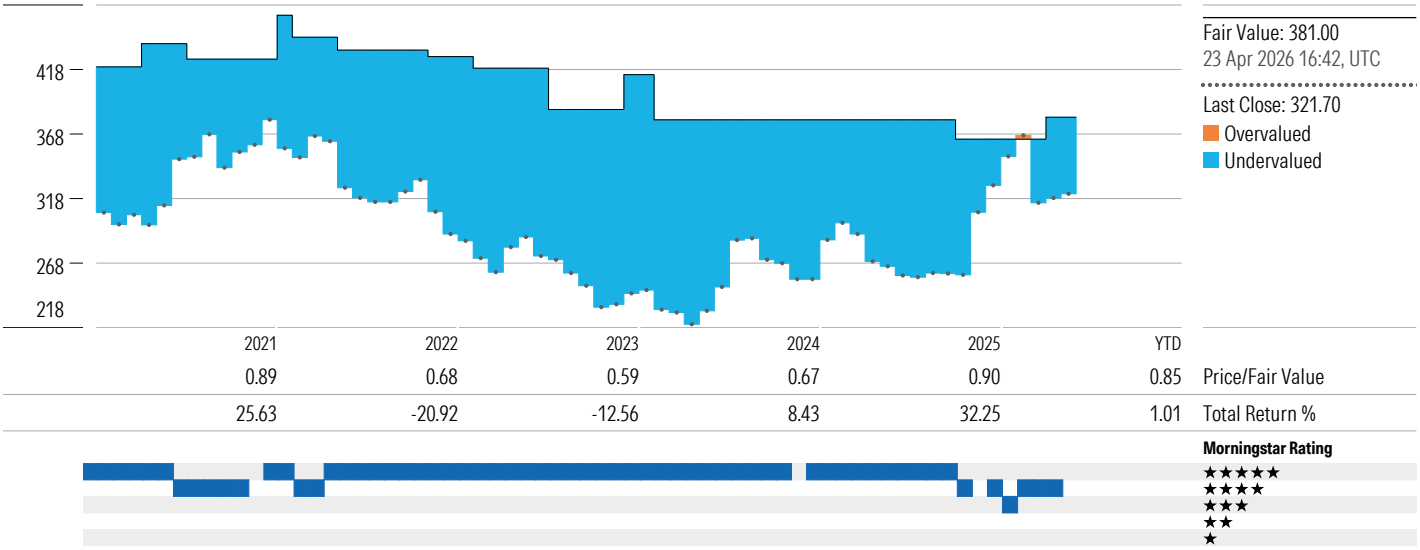
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Competitors Price vs. Fair Value

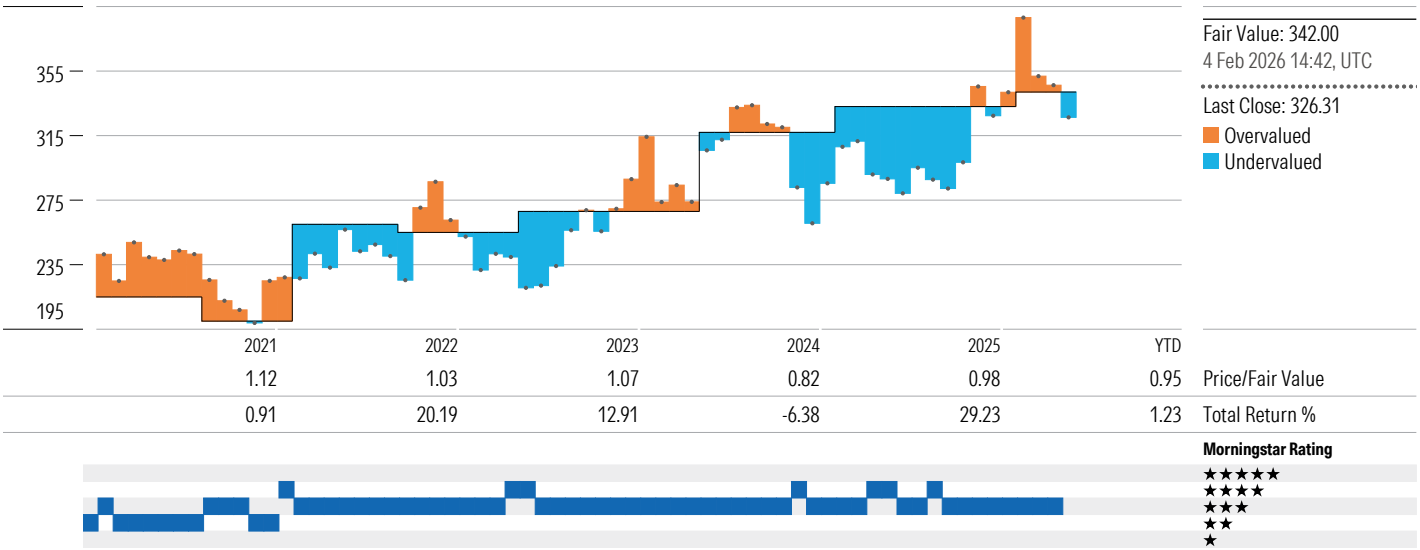
Roche Holding AG Ordinary Shares new ROP



	2021	2022	2023	2024	2025	YTD	
	0.89	0.68	0.59	0.67	0.90	0.85	Price/Fair Value
	25.63	-20.92	-12.56	8.43	32.25	1.01	Total Return %

Total Return % as of 18 May 2026. Last Close as of 18 May 2026. Fair Value as of 23 Apr 2026 16:42, UTC.

Amgen Inc AMGN



	2021	2022	2023	2024	2025	YTD	
	1.12	1.03	1.07	0.82	0.98	0.95	Price/Fair Value
	0.91	20.19	12.91	-6.38	29.23	1.23	Total Return %

Total Return % as of 15 May 2026. Last Close as of 15 May 2026. Fair Value as of 4 Feb 2026 14:42, UTC.

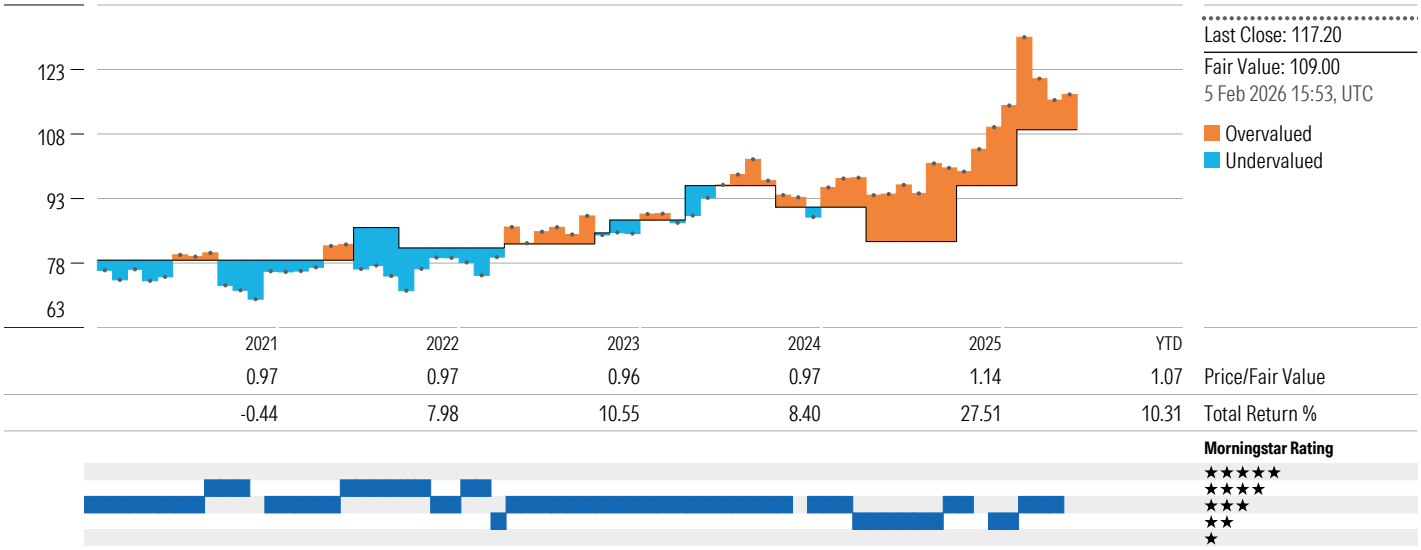
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Competitors Price vs. Fair Value

Novartis AG Registered Shares NOVN



	2021	2022	2023	2024	2025	YTD	
	0.97	0.97	0.96	0.97	1.14	1.07	Price/Fair Value
	-0.44	7.98	10.55	8.40	27.51	10.31	Total Return %

Total Return % as of 18 May 2026. Last Close as of 18 May 2026. Fair Value as of 5 Feb 2026 15:53, UTC.

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Morningstar Valuation Model Summary

Financials as of 08 Apr 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	13,117	14,202	14,343	15,010	16,419	17,534	18,646	19,773
Operating Income (USD Mil)	4,231	4,145	3,692	3,988	4,801	5,777	7,172	7,806
EBITDA (USD Mil)	4,654	4,575	4,246	4,648	5,517	6,538	7,978	8,657
Adjusted EBITDA (USD Mil)	4,654	4,575	4,246	4,648	5,517	6,538	7,978	8,657
Net Income (USD Mil)	3,954	4,413	4,505	3,698	4,389	5,219	6,405	6,943
Adjusted Net Income (USD Mil)	5,045	5,365	4,888	4,620	5,314	6,145	7,333	7,875
Free Cash Flow To The Firm (USD Mil)	4,092	-1,129	233	4,585	3,263	4,210	5,268	5,875
Weighted Average Diluted Shares Outstanding (Mil)	114	115	109	106	103	100	96	92
Earnings Per Share (Diluted) (USD)	34.77	38.34	41.48	34.76	42.52	52.32	66.82	75.72
Adjusted Earnings Per Share (Diluted) (USD)	44.37	46.61	45.01	43.42	51.47	61.60	76.51	85.88
Dividends Per Share (USD)	0.00	0.00	3.52	3.76	4.06	4.39	4.74	5.12

Margins & Returns as of 08 Apr 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	29.0	32.3	29.2	25.7	26.6	29.2	33.0	38.5	39.5	33.3
EBITDA Margin %	—	35.5	32.2	29.6	31.0	33.6	37.3	42.8	43.8	—
Adjusted EBITDA Margin %	—	35.5	32.2	29.6	31.0	33.6	37.3	42.8	43.8	37.7
Net Margin %	30.9	30.1	31.1	31.4	24.6	26.7	29.8	34.4	35.1	30.1
Adjusted Net Margin %	36.8	38.5	37.8	34.1	30.8	32.4	35.1	39.3	39.8	35.5
Free Cash Flow To The Firm Margin %	8.3	31.2	-8.0	1.6	30.6	19.9	24.0	28.3	29.7	26.5

Growth & Ratios as of 08 Apr 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	5.6	7.8	8.3	1.0	4.7	9.4	6.8	6.3	6.1	6.6
Operating Income Growth %	-9.0	-13.7	-2.0	-10.9	8.0	20.4	20.3	24.2	8.8	16.2
EBITDA Growth %	-7.2	-12.8	-1.7	-7.2	9.5	18.7	18.5	22.0	8.5	15.4
Adjusted EBITDA Growth %	-7.3	-12.8	-1.7	-7.2	9.5	18.7	18.5	22.0	8.5	15.3
Earnings Per Share Growth %	2.8	-9.0	10.3	8.2	-16.2	22.3	23.1	27.7	13.3	12.8
Adjusted Earnings Per Share Growth %	2.8	-2.5	5.1	-3.5	-3.5	18.6	19.7	24.2	12.3	12.8

Valuation as of 08 Apr 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	19.8	15.3	17.1	14.5	12.2	10.2	8.2	7.3
Price/Sales	7.3	5.5	5.7	4.4	4.0	3.8	3.5	3.3
Price/Book	3.8	2.8	2.7	2.1	1.9	1.8	1.6	1.5
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	19.0	15.5	17.9	12.9	10.9	9.2	7.5	6.9
EV/EBIT	20.9	17.1	20.5	15.0	12.5	10.4	8.4	7.7
Dividend Yield %	—	—	0.5	0.6	0.6	0.7	0.8	0.8
Dividend Payout %	0.0	0.0	7.8	8.7	7.9	7.1	6.2	6.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 08 Apr 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	12.0	11.7	11.1	8.9	10.3	11.7	13.7	14.2
ROE %	15.2	15.0	14.4	11.4	13.0	14.8	17.1	17.5
ROIC %	17.8	15.0	24.8	12.2	13.1	13.6	14.7	15.3

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	3.8	3.3	2.8	3.2	3.1	3.0	2.9	2.8
Assets/Equity	1.3	1.3	1.3	1.3	1.3	1.3	1.2	1.2
Net Debt/EBITDA	-0.6	-1.1	-1.9	-1.8	-1.6	-1.5	-1.4	-1.4
Total Debt/EBITDA	0.6	0.6	0.6	0.6	0.5	0.4	0.3	0.3
EBITDA/ Net Interest Expense	137.3	-6.6	-2.8	-12.8	-15.2	-18.0	-22.0	-23.8

Forecast Revisions as of 10 May 2026	2026		2027		2028	
Prior data as of 29 Oct 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	730.00	725.11	—	—	—	—
Revenue (USD Mil)	15,010	13,853	16,419	14,350	17,534	15,680
Operating Income (USD Mil)	3,988	3,450	4,801	3,818	5,777	4,593
EBITDA (USD Mil)	4,648	3,969	5,517	4,452	6,538	5,280
Net Income (USD Mil)	4,620	4,430	5,314	4,480	6,145	5,141
Earnings Per Share (Diluted) (USD)	34.76	37.55	42.52	33.40	52.32	40.92
Adjusted Earnings Per Share (Diluted) (USD)	43.42	39.78	51.47	42.11	61.60	49.94
Dividends Per Share (USD)	3.76	3.50	4.06	3.75	4.39	4.00

Key Valuation Drivers as of 08 Apr 2026

Cost of Equity %	7.5
Pre-Tax Cost of Debt %	4.7
Weighted Average Cost of Capital %	7.4
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	2.5
Stage II Investment Rate %	30.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 08 Apr 2026

	USD Mil
Present Value Stage I	34,384
Present Value Stage II	8,632
Present Value Stage III	30,907
Total Firm Value	**73,923**
Cash and Equivalents	8,605
Debt	2,706
Other Adjustments	-4,138
Equity Value	**75,684**
Projected Diluted Shares	105
Fair Value per Share (USD)	**730.00**

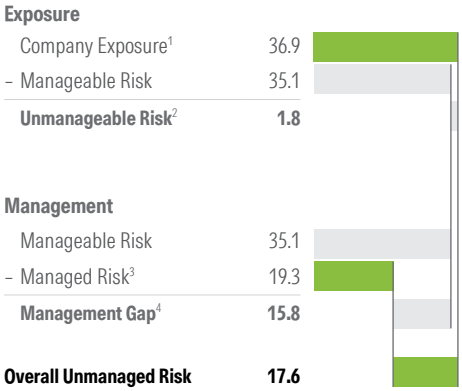
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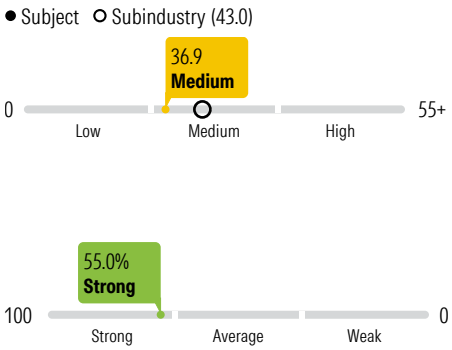
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ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 55.0% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 13, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Biotechnology. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 13 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Regeneron Pharmaceuticals Inc	36.9 | Medium	0	55+	55.0 | Strong	100	0	17.6 | Low	0	40+
Exelixis Inc	41.8 | Medium	0	55+	42.9 | Average	100	0	24.7 | Medium	0	40+
Roche Holding AG	46.0 | Medium	0	55+	58.1 | Strong	100	0	21.2 | Medium	0	40+
Amgen Inc	41.7 | Medium	0	55+	54.0 | Strong	100	0	20.4 | Medium	0	40+
Novartis AG	45.7 | Medium	0	55+	82.0 | Strong	100	0	10.9 | Low	0	40+

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Appendix

Historical Morningstar Rating

Regeneron Pharmaceuticals Inc REGN 15 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★	★★★	★★	★	★	★	★★	★★	★★	★★	★★
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Roche Holding AG Ordinary Shares new ROP 15 May 2026 05:00, UTC

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Amgen Inc AMGN 15 May 2026 05:00, UTC

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Novartis AG Registered Shares NOVN 15 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

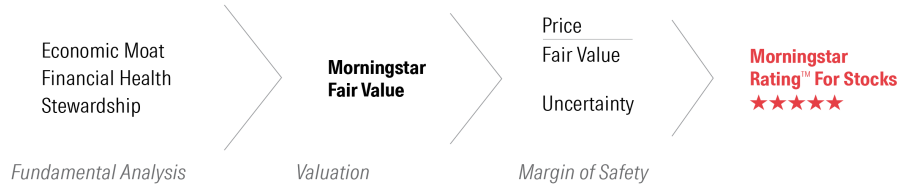
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

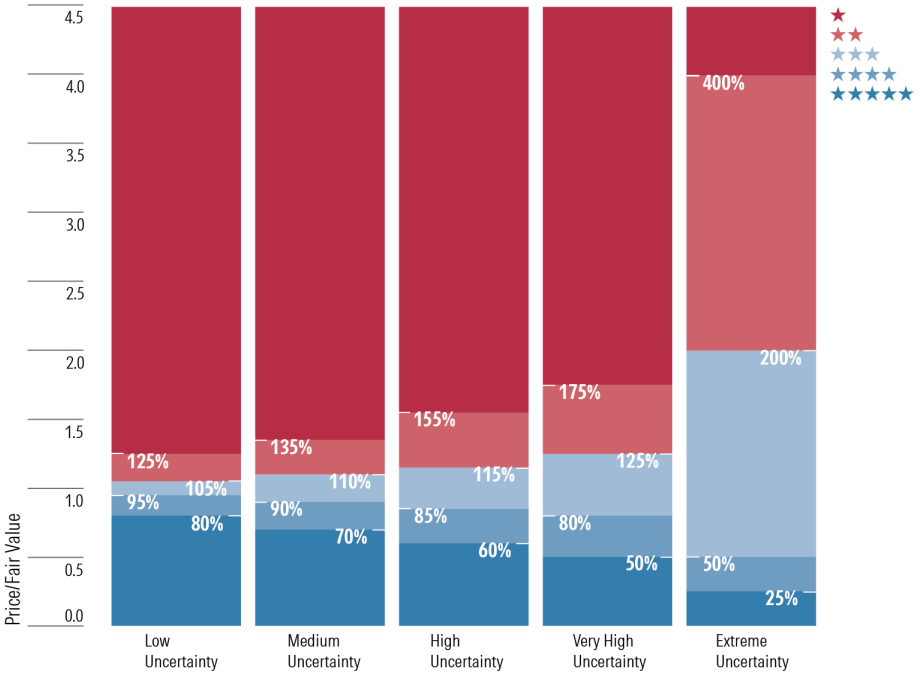
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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